

decide if they're serious.

Once the unsettling fact of the risk in money is accepted, we can begin to separate gambling from investing not by the type of activity (buying bonds, buying stocks, betting on the horses, etc.) but by the skill, dedication, and enterprise of the participant. To a veteran handicapper with the discipline to stick to a system, betting on horses offers a relatively secure long-term return, which to him has been as reliable as owning a mutual fund, or shares in General Electric. Meanwhile, to the rash and impetuous stockpicker who chases hot tips and rushes in and out of his equities, an "investment" in stocks is no more reliable than throwing away paychecks on the horse with the prettiest mane, or the jockey with the purple silks.

(In fact, to the rash and impetuous stock player, my advice is: Forget Wall Street and take your mad money to Hialeah, Monte Carlo, Saratoga, Nassau, Santa Anita, or Baden-Baden. At least in those pleasant surroundings, when you lose, you'll be able to say you had a great time doing it. If you lose on stocks, there's no consolation in watching your broker pace around the office.

Also, when you lose mad money at the horses you simply throw your worthless tickets on the floor and you're done with it, but in stocks, options, and so forth you have to relive the painful episodes with the tax accountant every spring. It may take days of extra work to figure all this out.)

To me, an investment is simply a gamble in which you've managed to tilt the odds in your favor. It doesn't matter whether it's Atlantic City or the S&P 500 or the bond market. In fact, the stock market most reminds me of a stud poker game.

Betting on seven-card stud can provide a very consistent long-term return to people who know how to manage their cards. Four of the cards are dealt faceup, and you can not only see all of your hand but most of your opponents' hands. After the third or fourth card is dealt, it's pretty obvious who is likely to win and who is likely to lose, or else it's obvious there is no likely winner. It's the same on Wall Street. There's a lot of information in the open hands, if you know where to look for it.

By asking some basic questions about companies, you can learn which are likely to grow and prosper, which are unlikely to grow and prosper, and which are entirely mysterious. You can never be certain what will happen, but each new occurrence—a jump in earnings, the sale of an unprofitable subsidiary, the expansion into new markets—is like turning up another card. As long as the cards suggest favorable odds of success, you stay in the hand.

Anyone who plays regularly in a monthly stud poker game soon realizes that the same "lucky stiffs" always come out ahead. These are the players who undertake to maximize their return on investment by carefully calculating and